

**BROWN & WILLIAMSON
TOBACCO CORPORATION**

T.E. SANDEFUR, JR.
President
And Chief Operating Officer

May 23, 1985

Mr. Herbert L. Pease
Private Label Marketing, Inc.
4717 Fletcher
Fort Worth, TX 76107

Dear Herb:

As we have indicated, Brown & Williamson looks forward to becoming an additional supplier of generic cigarettes for you. Each of us has agreed with the other that it is your desire to have B&W supply GPC product to customers you have obtained on the same terms as we supply generic cigarettes to others. In that connection, you have agreed you shall have orders placed with us for, and we shall supply, approximately 350,000 cases annually. This agreement is terminable by either party on 90 days written notice to the other.

You have told us you are concerned lest a claim be made against you arising out of the use of your GPC trademark, or trade dress, in connection with cigarettes manufactured by Brown & Williamson. We have consulted with trademark counsel and can see no such exposure. Nevertheless, we agree we will indemnify you against any claim that putting your GPC symbol on a package manufactured by us violates anyone else's proprietary rights. We also agree to indemnify you against any consumer claims regarding the quality or nature of our product. For these indemnities to be effective, we must receive written notice of any claim within 15 days of your learning of it. Thereafter, we shall have the exclusive right to assume full control of the defense and disposition of the claim.

The terms of sale are as follows:

- 1) Selling Price - B&W's direct buying customers ordering the GPC label from B&W will be invoiced at standard prices and terms. Currently, these prices are \$18.75/M for Kings and \$19.75/M for 100's; the prompt payment discount is 2%, 14 days except as otherwise agreed to between us. B&W customers ordering the GPC label will never pay a higher list price than B&W customers buying other Brown & Williamson generic labels.